246 South 2nd Street OM

Base case · 9 condos over commercial

October 2026

Preliminary feasibility figures for discussion only. Not an offer to sell or a solicitation of an offer to buy securities. Projections are estimates and actual results may differ materially.

Investment summary

UPSIDE SCENARIO · MARKET-RATE CONDOS AT $1,950 / SF

$17.61M	$13.10M	$3.29M	$4.40M	28.5%	1.75x
GROSS SALES	PROJECT COST	PROFIT	EQUITY REQUIRED	IRR, ALL EQUITY	EQUITY MULTIPLE

The opportunity

Ground-up, 8-story, 85 ft mixed-use condominium on South 2nd Street in Williamsburg's Southside: 9 residences above two floors of commercial space.

- 246 South 2nd's own floor area in R6 with qualifying affordable housing, with the 5% Zone Green credit. No air rights or certificates needed.
- Residential: 6,879 sellable sf in 9 homes, one of them an affordable homeownership unit. Commercial: 1,717 sf at grade, a 2,616 sf 2nd floor and 1,857 sf below grade.
- Floor 8: a full-floor penthouse with a setback terrace and a 1,505 sf private roof. Common terrace on floor 3.
- All homes presell. All-electric, ultra-low-energy; 20-month build.

Capital

$4.40M of equity funds the land and pre-development. A construction loan of up to $9.30M (70% of cost, 9.5%) funds the balance; peak draw $8.63M.

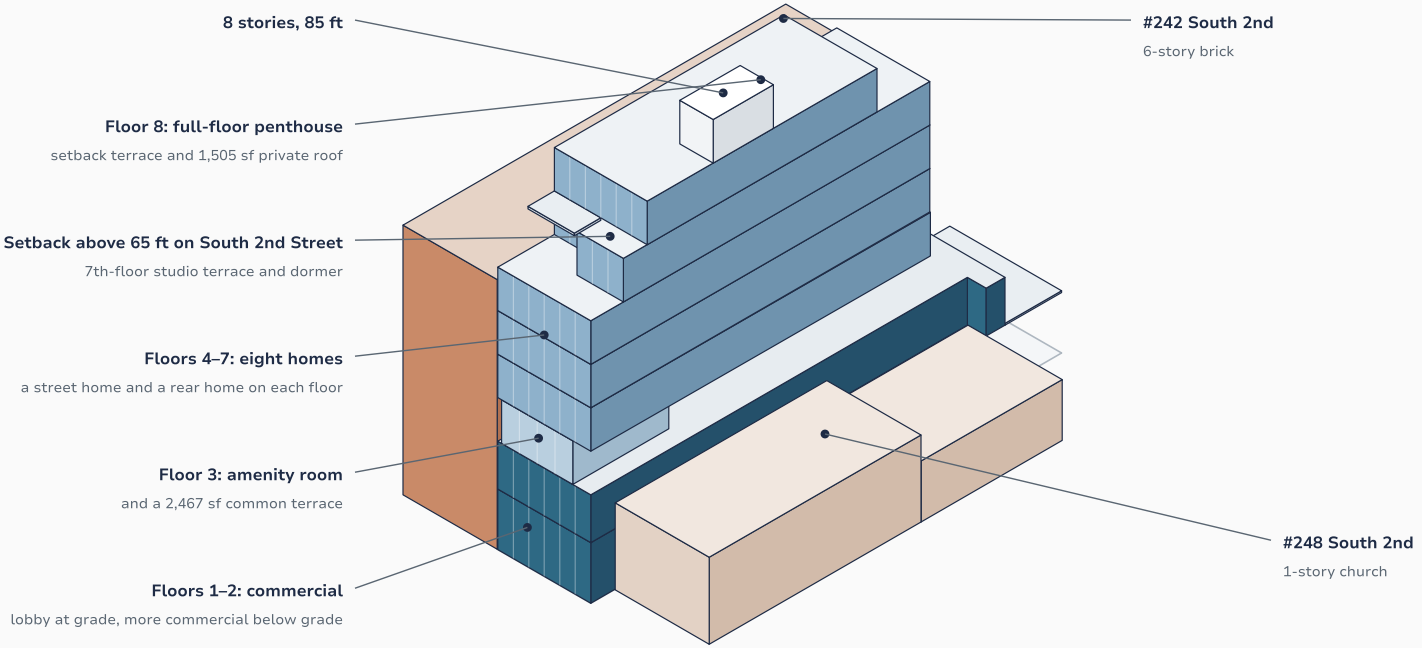
	BASE $1,750	UPSIDE $1,950
Sellable residential sf	6,879	6,879
Market-rate price, 4th floor	$1,750/sf	$1,950/sf
Upper-floor premium	+2% a floor	+2% a floor
Residential condo sales	$11.26M	$12.51M
Commercial condo value	$5.10M	$5.10M
Gross sales	$16.35M	$17.61M
Net revenue, after sale costs	$15.20M	$16.39M
Total project cost	$13.10M	$13.10M
Profit	**$2.10M**	**$3.29M**
Margin on cost	**16.0%**	**25.1%**
Equity multiple	1.48x	1.75x
IRR, all equity	19.2%	28.5%
Investor IRR, after pref and promote	15.7%	22.6%
Sponsor promote	$411,479	$769,074

The two cases differ only in the market-rate price per sellable sf on the 4th floor; floors above add 2% each (PH +8%). The affordable unit sells at $300,000 and the commercial condo is valued at 0% vacancy in both. Break-even is about $1,398/sf.

USES	$	%
Land	$4.00M	30.5%
Hard costs	$6.53M	49.9%
Soft costs	$1.55M	11.8%
Loan fees and recording tax	$0.35M	2.7%
Construction interest	$0.60M	4.6%
Sponsor wind-down	$0.06M	0.5%
Total project cost	**$13.10M**	**100%**

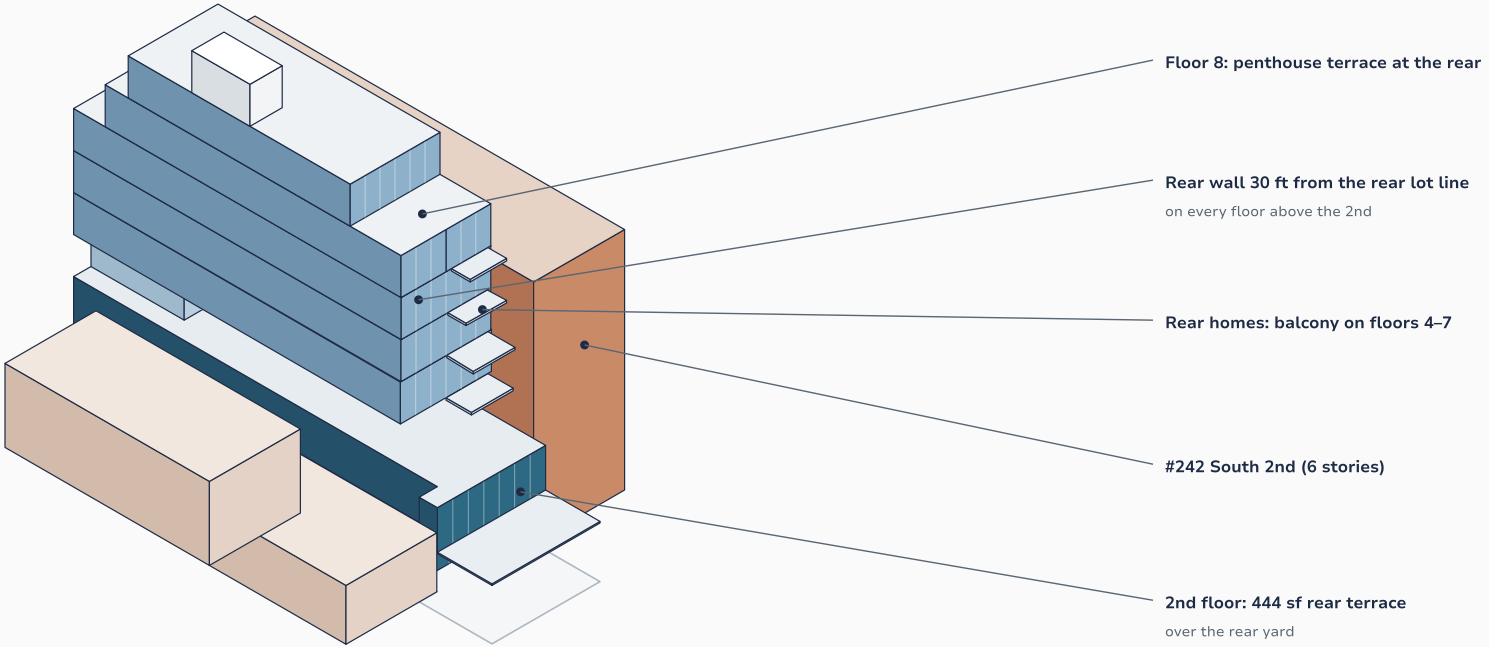
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The building, from South 2nd Street



Artist's rough massing from the floor area model, not a design: 8 stories, 85 ft, set back above 65 ft. Neighbors from the 2015 survey, heights estimated.

FROM THE REAR, OVER #248



Artist's rough massing, looking toward South 2nd Street from the rear over the one-story buildings at #248. The side walls are lot-line walls without windows; homes face the street, the rear and the light well.

Floor by floor

FLOOR	USE	GROSS SF	ZONING SF	SELLABLE SF	OUTDOOR SF
Cellar	Commercial and community facility	3,060	exempt	1,857	–
1	Commercial, lobby and core	2,344	1,509	1,717	–
2	Commercial, full floor	3,060	3,060	2,616	444
3	Common terrace and amenity room	–	–	–	2,467
4	4F affordable 1-bed · 4R 1-bed	2,035	1,798	1,572	81
5	5F 2-bed · 5R 1-bed	2,023	1,786	1,577	85
6	6F 2-bed · 6R 1-bed	2,020	1,793	1,577	55
7	7F studio + terrace · 7R 1-bed	1,728	1,511	1,290	343
8	PH, full floor	1,308	1,081	863	432
Roof	PH private roof	–	–	–	1,505
	Amenity and Zone Green deductions		*–1,042*		
Total	**9 homes · commercial condo**	**14,518**	**11,911**	**13,069**	**5,412**

From the floor area model. Gross and zoning floor area above grade; the cellar is exempt. Sellable sf to the offering-plan lines. The market-rate residential cap governs, so about 2,969 sf of the 4.8 FAR goes unused.

Zoning · R6 with qualifying affordable housing

Lot	**3,100 sf · R6, qualifying affordable**
Floor area allowed, 4.8 FAR	**14,880 sf**
Floor area used	**11,911 sf (80%)**
Market-rate residential, 2.2 FAR	**6,819 of 6,820 sf**
Affordable homeownership unit	**858 sf (4F)**
Commercial, 2.0 FAR	**4,234 of 6,200 sf**
Height	**84'-11" of 85 ft**
Street setback	**15 ft above 65 ft**
Rear yard	**30 ft above the 2nd floor**

The 5% Zone Green credit (627 sf) needs an ultra low energy, Passive House level building. Counsel and the energy consultant to confirm.

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Unit mix and revenue

						BASE · $1,750		UPSIDE · $1,950	
UNIT	FLOOR	TYPE	BED / BATH	SF	FLOOR PREM.	$ / SF	PRICE	$ / SF	PRICE
4F	4	Affordable 1-bed (for sale)	1 / 1	858	–	$350	$300,000	$350	$300,000
4R	4	1-bedroom	1 / 1	714	–	$1,750	$1,249,500	$1,950	$1,392,300
5F	5	2-bedroom	2 / 2	858	+2%	$1,785	$1,531,530	$1,989	$1,706,562
5R	5	1-bedroom	1 / 1	719	+2%	$1,785	$1,283,415	$1,989	$1,430,091
6F	6	2-bedroom	2 / 2	858	+4%	$1,820	$1,561,560	$2,028	$1,740,024
6R	6	1-bedroom	1 / 1	719	+4%	$1,820	$1,308,580	$2,028	$1,458,132
7F	7	Studio + street terrace	0 / 1	567	+6%	$1,855	$1,051,785	$2,067	$1,171,989
7R	7	1-bedroom	1 / 1	723	+6%	$1,855	$1,341,165	$2,067	$1,494,441
PH	8	Penthouse + private roof	2 / 2	863	+8%	$1,890	$1,631,070	$2,106	$1,817,478
Total		**9 units**	**11 / 12**	**6,879**		**$1,637**	**$11,258,605**	**$1,819**	**$12,511,017**

Market-rate homes at $1,750/sf (base) or $1,950/sf (upside) on the 4th floor, plus 2% for each floor above it (5th +2%, 6th +4%, 7th +6%, PH +8%), pending the Southside comps. The affordable homeownership unit (4F) sells at $300,000 in both cases, a placeholder for its affordable sale price. Outdoor space is not priced separately.

Commercial condo · 1st and 2nd floors and cellar

At grade	**1,717 sf at $65 / sf / yr**
2nd floor	**2,616 sf at $40 / sf / yr**
Cellar, incl. community facility	**1,857 sf at $25 / sf / yr**
Vacancy · expenses · cap rate	**0% · 3% · 5.0%**
Commercial condo value, both cases	**$5.10M**

Gross to net

	BASE $1,750	UPSIDE $1,950
Condo sales	$11.26M	$12.51M
Commercial condo sale	$5.10M	$5.10M
Gross revenue	**$16.35M**	**$17.61M**
Condo sale costs	–$0.63M	–$0.69M
Commercial sale costs	–$0.50M	–$0.50M
End-loan packages and releases	–$0.03M	–$0.03M
Net revenue	**$15.20M**	**$16.39M**

SENSITIVITY: MARGIN ON COST

CONDO PRICE AND HARD COSTS

MARKET-RATE PRICE, 4TH FLOOR, $ / SF

Hard cost, $ / gsf	$1,550	$1,650	$1,750	$1,850	$1,950
$405 · −10%	13.4%	18.2%	23.0%	27.9%	32.7%
$428 · −5%	10.1%	14.7%	19.4%	24.1%	28.8%
$450 · as budgeted	6.9%	11.5%	**16.0%**	20.6%	25.1%
$473 · +5%	4.0%	8.4%	12.8%	17.2%	21.6%
$495 · +10%	1.2%	5.5%	9.8%	14.1%	18.4%
$518 · +15%	−1.5%	2.7%	6.9%	11.1%	15.3%

Hard costs per gross sf above grade (14,518 gsf), the owner's $450/gsf budget. Each cell recalculated in the workbook, financing included.

CONDO PRICE AND LAND PRICE

MARKET-RATE PRICE, 4TH FLOOR, $ / SF

Land price, 246 South 2nd	$1,550	$1,650	$1,750	$1,850	$1,950
$3.00M	16.1%	21.0%	26.0%	30.9%	35.8%
$3.50M	11.3%	16.0%	20.8%	25.5%	30.3%
$4.00M · current	6.9%	11.5%	**16.0%**	20.6%	25.1%
$4.50M	2.9%	7.2%	11.6%	16.0%	20.4%

Purchase price of 246 South 2nd; today $4.00M. Each cell recalculated in the workbook, financing included.

Break-even: about **$1,398/sf** on the 4th floor. A 15% margin on cost needs about **$1,728/sf** at today's budget and land price. Prices include the 2% upper-floor premium.

Loss · 0–10% · 10–15% · 15–20% · 20–25% · 25–30% · 30–40% · 40–50% · 50%+

Outlined: today's plan, $1,750/sf, hard costs as budgeted, land at $4.00M.